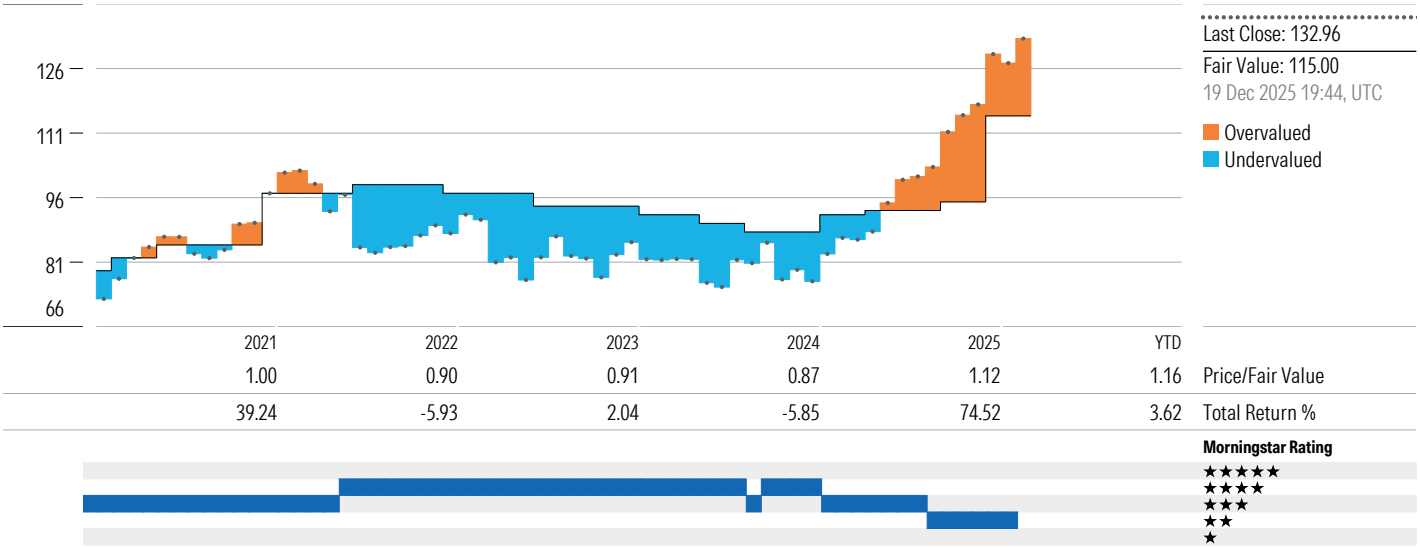
The Toronto-Dominion Bank TD ★★ 25 Feb 2026 23:10, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.00	0.90	0.91	0.87	1.12	1.16
Total Return %	39.24	-5.93	2.04	-5.85	74.52	3.62

Total Return % as of 25 Feb 2026. Last Close as of 25 Feb 2026. Fair Value as of 19 Dec 2025 19:44, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Toronto-Dominion Earnings: Good Performance in Wholesale Banking and Wealth Businesses

Analyst Note Maoyuan Chen, Equity Analyst, 26 Feb 2026

Toronto-Dominion reported strong fiscal first-quarter results. Adjusted EPS came in at CAD 2.44, up 21% from a year ago. The results translated into an adjusted return on equity of 14.2%, above its current 2026 target of 13.0%.

Why it matters: Like its peers, Toronto-Dominion saw strong performance in the wholesale banking and wealth business segments, with adjusted earnings growth of 65% and 11% year over year, respectively. The bank indicated that it could see potential upside to its 6%-8% EPS growth and 13% adjusted ROE target for 2026.

- The US segment saw adjusted loan growth of around 2%, excluding its optimization actions. The US segment's net income of $747 million indicates the bank is on track to achieve its $2.9 billion segment earnings target in 2026.

The bottom line: As we incorporate fiscal first-quarter results, we don't anticipate making material changes to our CAD115/USD 84 fair value estimates for wide-moat-rated Toronto-Dominion Bank. We continue to view shares as overvalued.

- While we like the bank's investment in building its product capabilities in the wholesale banking business, we note this segment's earnings can be very volatile, and we caution investors not to over-extrapolate results.

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Sector Financial Services

Industry Banks - Diversified

Business Description

Toronto-Dominion is one of Canada's two largest banks with over CAD 2 trillion in assets. TD Bank operates four business segments: Canadian personal and commercial banking, US retail banking, wealth management and insurance, and wholesale banking. The bank derives more than 50% of its revenue from Canada and has dominant market share in nearly all banking products and services. TD has around 44% of its revenue from its US operations. Its US footprint spans from Maine to Florida, with a strong presence in the Northeast.

- Our long-term fee income growth expectation is in the mid-single-digit range, and similar to GDP growth, lower than the bank's ambitious high-single-digit range target.

Key stats: TD Bank still has excess capital on its balance sheet, ending the January quarter with a common equity Tier 1 ratio of 14.5%, 300 basis points above its regulatory minimum. We expect the bank to continue utilizing share buybacks to return excess capital to shareholders.

- TD Bank's diluted share count declined by 3.8% year over year, and we estimate its remaining 2026 buyback capacity can reduce its share count by another 3.4%.

Business Strategy & Outlook Maoyuan Chen, Equity Analyst, 19 Dec 2025

Toronto-Dominion is the second-largest Canadian bank. Around 55% of its revenue is domestic and around 40% is from the US. We think new CEO Raymond Chun is putting the bank on the right track. 2025 was a transitional fiscal year as TD is actively remediating its US anti-money-laundering system with elevated expenses and repositioning its US balance sheet for its asset cap growth limitations. TD also sold its 10.1% equity stake in Charles Schwab in February of 2025, which gives the bank excess capital to cover the costs of the balance sheet optimization and conduct share buybacks. TD reduced its share count by 3.5% in fiscal 2025 through buybacks, and we expect the bank to reduce its share count by around 3.8% in fiscal 2026. Divesting Schwab shares also helps the bank sharpen its focus. The balance sheet growth limitation on TD's US retail bank means that the company will have to grow its domestic businesses faster; we view this as a positive, because TD's Canadian businesses are moatier.

Toronto-Dominion has done an admirable job in its Canadian operations and hold number one- or two-market share for most products in this segment. With over CAD 500 billion in Canadian assets under management, the bank with the most demand deposits, and the largest card issuer, TD should remain one of the dominant Canadian banks for years to come. We also like its positioning as a major discount brokerage player because we believe this industry is ripe for growth as investors seek out lower-cost alternatives.

Toronto-Dominion has the most branches in the US among Canadian banks. While this previously gave TD exposure to a higher-growth US market, this changed after it received a USD 3.1 billion fine for US anti-money-laundering violations in 2024 and an asset cap on its US retail bank (approximately 30% of TD's earnings). TD is revamping its US anti-money-laundering operations, which will increase expenses in the short to medium term. The bank also exited some lower-return loan portfolios and repositioned some of its securities in 2025, which should give the bank some benefit in net interest income over the next two to three years.

Bulls Say Maoyuan Chen, Equity Analyst, 19 Dec 2025

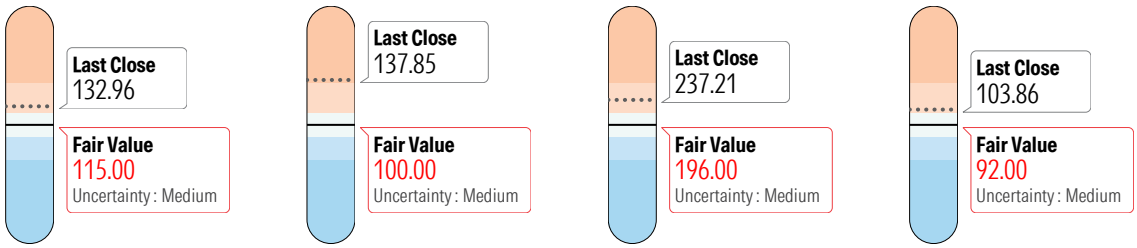
- As TD invests more capital in its Canadian banking segments because of the asset cap on its US retail segment, it can take even more share domestically. This could improve total returns.

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Competitors



	The Toronto-Dominion Bank TD	Canadian Imper...nk of Commerce CM	Royal Bank of Canada RY	Bank of Nova Scotia BNS
Economic Moat	Wide	Narrow	Wide	Narrow
Currency	CAD	CAD	CAD	CAD
Fair Value	115.00 19 Dec 2025 19:44, UTC	100.00 17 Dec 2025 00:15, UTC	196.00 18 Dec 2025 17:18, UTC	92.00 2 Jan 2026 19:16, UTC
1-Star Price	155.25	135.00	264.60	124.20
5-Star Price	80.50	70.00	137.20	64.40
Assessment	Overvalued 25 Feb 2026	Overvalued 25 Feb 2026	Overvalued 25 Feb 2026	Overvalued 25 Feb 2026
Morningstar Rating	★★25 Feb 2026 23:10, UTC	★★25 Feb 2026 23:08, UTC	★★25 Feb 2026 23:08, UTC	★★25 Feb 2026 23:08, UTC
Analyst	Maoyuan Chen, Equity Analyst	Maoyuan Chen, Equity Analyst	Maoyuan Chen, Equity Analyst	Maoyuan Chen, Equity Analyst
Capital Allocation	Standard	Standard	Exemplary	Standard
Price/Fair Value	1.16	1.38	1.21	1.13
Price/Sales	3.68	4.36	4.97	3.41
Price/Book	1.89	2.16	2.57	1.64
Price/Earning	15.89	16.09	16.44	15.38
Dividend Yield	3.18%	2.89%	2.61%	4.20%
Market Cap	222.94 Bil	127.73 Bil	332.14 Bil	128.40 Bil
52-Week Range	78.06—134.50	76.17—138.18	151.25—240.34	62.57—106.39
Investment Style	Large Blend	Large Value	Large Blend	Large Value

- ▶ TD has a lower exposure to the Canadian housing market than peers.
- ▶ The acquisition of Cowen could provide a unique boost for TD's US capital markets operations and for revenue and net income growth over the next several years.

Bears Say Maoyuan Chen, Equity Analyst, 19 Dec 2025

- ▶ Should the Canadian economy see a major downturn, the bank would have higher credit costs and likely limited growth, pressuring earnings and returns.
- ▶ TD is remediating its US anti-money-laundering operations, and expense spending will likely be elevated in the short term.
- ▶ The bank will have to look at other areas for growth, given its US retail asset cap. If the bank allocates more capital to its lower-return wholesale banking business, overall bank returns could be diluted.

Economic Moat Maoyuan Chen, Equity Analyst, 19 Dec 2025

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We believe Toronto-Dominion Bank has a wide economic moat because it possesses durable cost advantages and switching costs that are consistent with our bank moat framework. TD has a superior market share in the advantageous Canadian banking environment, a solid funding base, and exposure to more lucrative nonbank businesses. We are confident that it will consistently earn returns on tangible equity around 14% through the cycle, comfortably above its 9% cost of equity, underpinned by TD Bank deriving the majority of its earnings in the favorable Canadian market.

We believe bank moats are derived primarily from two sources: cost advantages and switching costs. We see switching costs in the Canadian system being driven by a tightly regulated oligopolistic structure (the Big Six Canadian banks control more than 90% market share) that limits excess competition, therefore stabilizing product pricing and giving customers less incentive to switch banks. We see cost advantages as stemming from three primary factors: a low-cost deposit base, excellent operating efficiency, and conservative underwriting. Regulatory costs must also be considered. We view the Canadian banking regulators as relatively favorable to the big Canadian banks. We view the Canadian banking environment as offering systemic cost advantages that manifest themselves in the form of lower operating costs, lower credit costs, lower regulatory costs, and lower absolute levels of and better diversification of risks, all of which allow the big Canadian banks to achieve greater risk-adjusted returns.

Toronto-Dominion Bank derives more than 50% of revenue from the Canadian market. It is one of the two largest banks in Canada (along with Royal Bank of Canada) and has dominant market share in many categories, including number-one or -two share in all key retail and commercial banking products. It is also one of the dominant investment banks in Canada. We view the bank as having a moat in investment banking built on intangible assets, which increases its probability of sourcing larger deals and generating better revenue share and economics from a deal with a lead advisor position. It also has the second-largest amount of assets under management among the Canadian banks, giving it a larger exposure to this higher-margin, asset-light business and a larger share of clients' overall wealth. We don't view TD as having superior operating efficiency compared with peer Canadian banks going forward, mostly because of its business mix of more US earnings exposure (which has an asset cap) and the higher expense spending related to the US anti-money-laundering remediation efforts.

Canadian Personal and Commercial Banking Business Has Wide Moat

We believe the Canadian banking environment offers systemic cost advantages and switching costs that lead to returns above the cost of capital, allowing the big banks operating under its jurisdiction to possess moats. We view Toronto-Dominion's Canadian personal and commercial banking segment (contributing around 30% of total TD Bank revenue) as having a wide moat. As one of the two largest Canadian banks, TD Bank represents more than 20% of domestic deposits (with over 25% share in demand deposits) and has number-one or -two market share in all consumer and commercial banking

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products. TD has consistently operated with one of the best efficiency ratios in Canadian personal and commercial banking segment, partially through operational execution, and partially due to its favorable funding mix with the number-one share in demand deposits. The bank's domestic net interest margin benefits from its favorable funding mix (less reliant on the more expensive wholesale funding sources) as well as its attractive credit-adjusted net interest margin from a larger exposure to credit cards (about 1 in 3 Canadians have a TD credit card). The bank also has one of the best cross-selling capabilities and execution among all Big Six Canadian banks, leading to TD extrapolating a larger portion of its consumer wealth. We think its comprehensive product sets in banking, wealth management, and insurance allow TD to form deep client relationships that span multiple businesses and can generate better switching costs. Toronto-Dominion's average Canadian retail client tenure is around 17 years, which is indicative of high switching costs. The strength of TD's Canadian banking franchise translates into superior domestic efficiency ratios and domestic returns over its smaller Canadian peers.

Barriers to entry are very high for the Canadian banking system. Existing regulations prevent foreign competition, as non-Canadian residents may not own more than 25% of the shares of a bank unless approved by the government, and foreign banks can only operate in Canada under certain restrictions. Domestic competition is also controlled, as Canada's banking system historically developed to favor a few large banks controlling the majority of the domestic market, and this is actively enforced through the handling of chartering by the federal government exclusively. Additionally, the rejection of merger proposals in 1998—between Royal Bank of Canada and Bank of Montreal and between Toronto-Dominion and Canadian Imperial Bank of Commerce—created a precedent where no further consolidation between the main Canadian banks will be accepted by the regulators.

Having larger banks helps to spread out fixed costs across a larger operating base, increasing operating efficiency, as the four largest Canadian banks are all bigger than the largest US regional bank. The Canadian banks, because their branch networks spread out throughout the country, arguably have some of the most powerful distribution networks in Canada. This offers cost advantages via lower customer acquisition costs. In addition, the banks are involved in nearly every major financial product, including asset management, wealth management, insurance, investment banking, and a variety of other consumer and commercial banking products and services. Bigger scale, powerful distribution networks, a multitude of products, and diversification of business lines lead to economies of scope in addition to the economies of scale already achieved.

We believe a more protective and efficient regulatory system also leads to cost advantages, primarily through risk reduction. More consolidated and well-integrated banking systems, like the Canadian system, have tended to be more stable over time, reducing risk. Also, the Canadian regulators must only primarily monitor and develop relationships with the Big Six Canadian banks, which is much easier than trying to monitor the thousands of banks that exist in the US, for example. This leads to more collaboration and cooperation between regulators and banks, as well as greater institutional memory

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and more coordinated and easily implemented responses if strains begin to appear in the system. Regulators also help to control pricing in the market at times, such as on mortgage products, helping to reduce the potential for pricing wars to gain market share at the expense of underwriting standards. Canadian regulation makes it more difficult for bad credit to be issued in many ways, including mandatory insurance and standards on riskier mortgage loans, not having a government-sponsored enterprise-like government-subsidized mortgage securitization market, and forcing banks to hold more of the risk on their own balance sheets. These factors help contribute to better absolute risk reduction in the system as well as regulatory economies of scale.

The Canadian banks are more geographically diversified on average than the majority of US regional banks, which often have concentrations in individual states or local economies. This diversifies credit risk, lowering the overall risk for each individual bank. Canada's system of higher taxes, more social safety nets, and other complex factors have also led to a more robust and stable middle class that contributes to economic and political stability, further reducing systemic risk.

Combine all of these factors, along with explicit government subsidies on deposit insurance and mortgage insurance and the implicit subsidy of being too big to fail domestically (all Big Six Canadian banks are labeled as domestic systemically important banks at a minimum), and we believe an environment exists where excess returns for banks are almost certain to exist in Canada.

US Retail Segment Has Narrow Moat From Cost Advantages and Switching Costs

Toronto-Dominion has around one-fifth of revenue from its US retail segment, which we view as having a narrow moat based on cost advantages and switching costs. The bank made a series of acquisitions from 2000 to 2010 and has built a Maine-to-Florida footprint on the East Coast with around USD 382 billion in assets at the end of fiscal 2025.

We view TD's US retail banking business as having cost advantages from its favorable funding mix. The bank has over 40% of its deposits in the Philadelphia-Camden-Wilmington metropolitan statistical area with number-one share. TD also has additional low-cost deposits from its insured deposit agreement with Charles Schwab. The Schwab IDA comes from the 2020 Charles Schwab merger with TD Ameritrade. The 2023 revised IDA has a floor of USD 60 billion and a ceiling of USD 90 billion (set to expire in 2034). We estimate Schwab IDA-related sweep deposits represent about 26%-30% of TD US retail deposits and view this as a relatively cheap funding source.

TD's resolution of anti-money-laundering/Bank Secrecy Act regulatory issues in the US, the asset cap, and other consent orders create headwinds to the bank's growth profile, profitability, and returns (lower balance sheet growth and higher expense spending) in the short to medium term. However, we don't think the bank's return profile will be permanently reduced to its 9% cost of equity on a normalized basis. Toronto-Dominion sold all its equity stake in Charles Schwab in February of 2025; it previously

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reported Schwab-related earnings in its US retail segment. The Schwab holding provided some earnings benefit, but this equity investment also required TD to hold more regulatory capital compared with lending mortgages or retail auto loans. We estimate the bank's US retail business core return excluding the Schwab equity stake should still be in the low to mid-teens under a normalized basis and comfortably above its 9% cost of equity.

Wealth Management and Insurance Segment Mostly Benefits From Switching Costs

The wealth management and insurance segment represents about 21% of Toronto-Dominion's total revenue. We estimate that wealth management (including advice, asset management, and discount brokerage) contributes two thirds of segment earnings and the insurance business (mostly general insurance and life insurance) contributes around one third. We think the wealth-management and asset-management businesses' primary moat source is switching costs, and we view Toronto-Dominion as moaty in both. We also think cost advantages apply to the discount brokerage business, as the scalable infrastructure allows retail brokerage firms to process additional trades at low costs. As such, we view TD as advantageous as it has around one-third market share in Canadian online brokerage assets. In Toronto-Dominion's insurance business, we estimate general insurance (property and casualty) represents over 80% of its premiums. As it is the leading direct-to-consumer personal insurer, this direct distribution focus leads to lower costs by selling insurance products on its online platform.

Toronto-Dominion is the second-largest wealth manager, the second-largest retail mutual fund manager, the largest institutional asset manager, and the largest discount brokerage in Canada. TD Bank had around CAD 530 billion in assets under management and CAD 651 billion in assets under administration at the end of fiscal 2024. We think the Toronto-Dominion brand makes it competitive in recruiting top talent and retaining advisors.

Wealth-management firms benefit from client asset stickiness and advisor stickiness. Clients are often hesitant to switch advisors because of existing relationships, uncertainty about the potential cost/benefit trade-off of a switch, and inertia with financial management decision-making. We believe advisors tend to stay with their current firm due to the threat of losing client assets if they switch.

We think the asset-management business is conducive to the creation of economic moats, with switching costs and intangible assets being the most durable sources of competitive advantage. Asset managers can improve the switching costs (higher retention) through organizational attributes such as depth and breadth of product mix and distribution channel concentration and geographic reach. A strong brand and great manager reputation from a record of investment performance can also help retention rates.

Although the switching costs might not be explicitly large, inertia and the uncertainty of achieving better results by moving from one manager to another tend to keep investors in place for extended

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periods. As a result, money that flows into asset-management firms tends to stay there. For the US fund industry, the average retention rate for long-term mutual funds (which excludes money market funds) has been around 75% annually for the past three decades.

Retention rates have been much higher in the Canadian market, where the average annual retention rate for long-term funds has historically been closer to 85% on average annually. This is because fund distribution is different in the Canadian market. Big Six banks and the Canadian life insurers have taken shares from purer-play asset managers. They have used their position as the largest distributors of mutual funds and expansions of their own fund products to compete more heavily with the independents on price. For example, Canadian banks can charge management fees that are 10% less than what the purer-play asset managers are charging, with trailer fees that are 15%-25% lower than the industry average. As their fund manufacturing and distribution operations are one of many different products and services they provide customers, pricing can be more competitive for the Big Six banks than it is for purer-play asset managers.

Wholesale Banking Segment Has Narrow Moat From Intangible Assets

Toronto-Dominion derives around 12% of its revenue from its wholesale banking business. We think TD Securities—with Cowen acquired in 2023—has brand recognition that provides a competitive advantage for garnering investment banking deals and recruiting top talent. TD Securities is one of the dominant investment banks in Canada, and Cowen is strong in the midmarket space in the US. Of its CAD 8.4 billion wholesale banking segment revenue in fiscal 2025, more than 60% is from its market/trading business and the remaining from corporate and investment banking business.

Moat in investment banking (equity underwriting, debt underwriting, merger advisory, restructuring advisory) are primarily built on intangibles. Intangibles for an investment bank are rooted in the strength of its reputation, relationships with investors, history with company executives, industry expertise, research analyst coverage, record of successful deals, and distribution capabilities. Strengths of an investment bank's intangible asset can be seen in its investment banking league table position, participation in high-profile transactions, and revenue production of its bankers. Having a strong intangibles asset-based moat increases the probability that the investment bank will be hired for the coveted lead advisor position on an investment banking deal that comes with superior revenue share and economics from a deal. A strong brand can attract more productive bankers.

We see little evidence of moats in developed financial markets for institutional securities trading by investment banks and broker/dealers. Financial instruments in developed markets often have transparent pricing and high levels of liquidity and don't carry high trading profitability. Increased profits may be had in more opaque areas of trading, such as derivatives or block trades, but they often come with greater risk for the broker/dealer, which may need to hold the trading securities on its own

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The Toronto-Dominion Bank TD ★★ 25 Feb 2026 23:10, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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balance sheet before selling the inventory. Even high revenue and operating margins in institutional trading don't necessarily indicate an economic moat that generates excess returns on capital because of the heightened regulation. Regulators require broker/dealers to hold generally expensive capital to fund trading operations to reduce risk. As a result, a high operating margin in an investment bank's institutional trading business can come with a low return on capital.

Fair Value and Profit Drivers Maoyuan Chen, Equity Analyst, 19 Dec 2025

We are increasing our fair value estimate to CAD 115 per share from CAD 95. About CAD 2 of the increase comes from the time value of money, and the remaining CAD 18 comes from a better near-term growth and profitability forecast. Our fair value estimate is equivalent to 2.1 times tangible book value as of October 2025 and 13.3 times our 2026 adjusted EPS estimate.

After net interest margin expanded by 4 basis points to 1.78% in 2025, we forecast an expansion by another 3 basis points in 2026 to 1.79%, mostly driven by lower funding costs and the benefits from the US retail balance sheet repositioning in 2025. We expect loan balances to grow by 4.4% in 2026, accelerating from 0.4% growth in 2025. For net interest income, we forecast a 4.4% growth in 2026, and we project it to grow at a CAGR of 3.3% from 2025 to 2030.

We expect credit costs to remain elevated in 2026, and we forecast a provisioning for credit losses ratio of 44 basis points in 2026, slightly lower than the 47 basis points in 2025 and in line with the bank's guidance of 40 to 50 basis points.

We project core noninterest income growing at a compound annual rate of 3.6% over the next five years, with some normalization of underwriting and advisory fee income and trading income in 2026. Trading income grew by 50% and 27% in 2024 and 2025. On the other hand, underwriting and advisory fee income increased by 79%, 44% and 19% in the past three years. While we think the bank's investment in its capital markets businesses should lead to some growth in the revenue base, we still view the 2025 level as over-earning from a mid-term earnings perspective. We see trading income and advisory fee income declining by 10% and 5% in 2026.

We forecast 2026 adjusted expenses to grow by 3.4%, in line with management guidance of 3% to 4% and this is a slowdown from the 8.6% growth in 2025. Over the next five years, we expect adjusted expenses to grow at a CAGR of 3.5%. This leads to an adjusted efficiency ratio of 60.7% by 2030, a bit above where the bank has been in the past, as we think the bank will have higher operating costs in its US retail business. TD will also incorporate a large mix of its lower-margin wholesale business, as the US retail segment can't grow its balance sheet as fast as the rest of the bank. In sum, our forecasts lead to a normalized return on tangible common equity of 15.9%. We use a 9% cost of equity.

Risk and Uncertainty Maoyuan Chen, Equity Analyst, 19 Dec 2025

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We assign Toronto-Dominion a Medium Morningstar Uncertainty Rating. Canadian banks face two primary risks: macroeconomic risks and risks related to future acquisitions (overpaying and execution). Among developed countries, Canada has some of the highest median housing prices/annual median household income ratios in several of its major housing markets. Mortgage debt levels have consistently increased for more than a decade. While low interest rates have kept debt-servicing ratios under control, this puts the economy in a riskier position as rates rise. We also see the leverage of Canadian consumers as a risk, because consumers have slowly leveraged up for more than a decade. Canadian banks also take higher leverage than US banks given their large exposure to consumer mortgages. Toronto-Dominion has one of the smaller exposures to the domestic real estate market in Canada, and we view this as a manageable risk for the bank. While there are uncertainties related to consumer debt levels and the mortgage market, we view them as a threat to future growth and not an existential risk to the Canadian banking system. Further, the Canadian banking system has historically been one of the more stable systems in the world; it is designed to discourage banks from excessive risk-taking and promote economic stability.

Tariffs create uncertainty in the Canadian economy. Should tariffs be maintained for a long period, Canada could enter into a recession, and Canadian consumers will face inflationary prices and a higher unemployment rate. The Canadian banks will have lower growth and higher credit costs in an economic downturn.

From an environmental, social, and governance perspective, we view most product governance and social risks as manageable and incorporate operational expenses related to compliance and litigation in our models. TD suffered from a serious regulatory inquiry into the bank's AML/BSA compliance, which led to severe fines and limits on US operations.

Capital Allocation Maoyuan Chen, Equity Analyst, 19 Dec 2025

We assign Toronto-Dominion a Standard Capital Allocation Rating. We think a Standard Rating is appropriate, given that AML-related issues appear largely to fall within the US retail banking business (approximately 30% of TD's total earnings), and we believe TD is on the right track to address its US regulatory issues. Apart from not investing sufficient capital in its US retail regulatory spending, we think Toronto-Dominion's balance sheet is sound and its capital return decisions are appropriate.

Raymond Chun, who joined TD in 1992, became CEO in February 2025. Previously, Chun served in several leadership roles, including COO, group head of the Canadian personal banking segment, group head of the global wealth and insurance segment, and president of TD's direct investing business. We think Chun is a solid pick, given that his past experience is focused on Canadian business segments and he has no direct experience in the US business.

Toronto-Dominion maintained a strong capital level and balance sheet amid the period of regulatory volatility in 2024. As of Oct. 31, 2025, TD has a common equity Tier 1 ratio of 14.7%. Chun's decision to

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sell TD's 10.1% equity stake in Charles Schwab gives the bank excess capital to reposition its US balance sheet and make share buybacks. We expect the bank to continue to maintain a strong balance sheet and focus on maintaining a competitive dividend (like its peers), with some additional earnings deployed toward share repurchases.

Toronto-Dominion is the second bank in the US to receive an asset cap from the regulators. We believe that its US AML deficiencies are significant. The Justice Department alleged that TD's US bank subsidiaries failed to maintain an adequate AML program between January 2014 and October 2023. This occurred during the tenure of Bharat Masrani, who became CEO in November 2014 and stepped down in January 2025. Masrani was COO of TD from 2013 to 2014 and CEO of the US bank segment from 2006 to 2013. Thus, we think it's fair to place some responsibility for the US retail AML issues on him. According to the Justice Department, Toronto-Dominion did not invest enough in its US AML program and was intentionally keeping expenses flat for some years.

We think TD is on the right track to remediate its US AML compliance issues. It has overhauled its previous US AML team and has added 40 experienced executives and over 700 AML specialists. It is also revamping its internal oversight structure, introducing new training, and investing in better technology solutions. The bank has appointed a third-party monitor to oversee its US AML remediation efforts. In January 2025, Alan MacGibbon, who has been chair since 2014, announced his resignation from the board. TD had five other board members retiring in 2025, and four new members were elected in its 2025 shareholder meeting. Frank Pearn (former global chief compliance officer at JPMorgan Chase) was appointed to the board in August 2025. TD reduced Masrani's pay and cut variable compensation for 41 current and former executives in 2023 and 2024.

Despite its US AML issues, we think Toronto-Dominion has generally been a conservative underwriter and a bank with some of the best execution among peers in its Canadian businesses. The bank performed well during the crisis, and it gained share in the Canadian home market over the past decade. We think the bank has been able to manage its card portfolios well while solidifying its top share position. The bank also recently expanded its Canadian home equity line of credit portfolio aggressively; we think this area bears watching, as these types of lines seem generally riskier.

TD spent a lot of resources on large acquisitions in the US (Banknorth in 2007 and Commerce Bancorp in 2008), and returns on equity there have been generally lower than in the Canadian businesses. With an asset cap on its US retail business, the bank will have to look for more growth in its Canadian personal and commercial banking business, wealth and insurance business, and wholesale banking business. The bank's wholesale banking ROE has been generally lower than its other segments, and the Cowen business has more volatile earnings. We would like to see Chun run the bank with better risk control, put the bank on the right track to remediate its US AML issues, and invest in the areas with good returns without bending the risk curve excessively.

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Analyst Notes Archive

Toronto-Dominion: Raising Fair Value Estimate to CAD 115/USD 84; Shares Still Overvalued Maoyuan Chen,Equity Analyst,19 Dec 2025

Toronto-Dominion's wholesale banking segment delivered strong performance in fiscal 2025, driven primarily by strong results from its trading business. The bottom line: We are increasing our fair value estimate for wide-moat Toronto-Dominion to CAD 115/USD 84 from CAD 95/USD 69. After the increase, we still view the shares as overvalued, as we believe the market is over-extrapolating the bank's strong trading-income performance. Around CAD 2 of the increase comes from the time of the money, and the remaining CAD 18 comes from higher short-term growth and profitability. We increased our normalized return on tangible common equity to 15.9% from 15.4%.The big picture: While we think the bank's investment in its wholesale banking businesses should lead to some growth in the revenue base, we still view the 2025 level as over-earning from a mid-term earnings perspective. Trading income grew by 50% and 27% in 2024 and 2025, respectively. On the other hand, underwriting and advisory fee income increased by 79%, 44%, and 19% in the past three years. We see trading income and advisory fee income declining by 10% and 5% in 2026. Key stats: We project core noninterest income to grow at a 3.6% CAGR from 2025 to 2030. We forecast an adjusted expense growth of 3.4% in 2026, a slowdown from the 8.6% growth in 2025 when regulatory-related spending was elevated. We expect net interest margin to expand by 3 basis points in 2026 to 1.79% and remain relatively stable around 1.80% later. We forecast net interest income growth to grow at a CAGR of 3.3% from 2025-30. We think credit costs will be elevated in the near term, and we project a provision for credit losses ratio of 44 basis points in 2026, in line with management's guidance of 40 basis points-50 basis points.

Toronto-Dominion Earnings: Finished Strong for a Transitional Fiscal Year of 2025 Maoyuan Chen,Equity Analyst,4 Dec 2025

Toronto-Dominion Bank reported decent fiscal fourth-quarter results. Adjusted EPS came in at CAD 2.18, up 27% from a year ago. The bank expects around 6% to 8% growth in adjusted EPS for fiscal 2026. Why it matters: Toronto-Dominion has completed its US retail segment restructuring of investment portfolios. The bank also reduced its lending portfolios in the US retail segment, with the segment's total asset size down 11% year over year to $382 billion. Overall, the US retail segment adjusted earnings excluding Schwab's contribution declined by 4.5% in fiscal 2025 to $2.6 billion. The bank expects the US retail segment to see mid-single-digit expense growth in 2026 and still targets $2.9 billion in net income for fiscal 2026, which implies around 10% growth in core earnings. We think this implies strong growth in both net interest income and fee income, and we are a bit more hesitant to give the management team credit. The bank is still asset sensitive, and rate cuts from the Federal Reserve will be a headwind to its NII growth in 2026. The bottom line: As we incorporate fiscal fourth-quarter results, we expect to increase our CAD 95/USD 69 fair value estimates by mid to high single

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digits for wide-moat-rated Toronto-Dominion Bank. We continue to view assess shares as overvalued. Wholesale banking segment and wealth management segment earnings were both strong in the fourth quarter, with adjusted earnings growing by 77% and 100%, respectively. While we like the bank's investment in building its product capabilities in the wholesale banking business, we note this segment's earnings can be very volatile, and we caution investors not to over-extrapolate results. Coming up: The bank expects its Canadian banking segment's net interest margin to be stable in the first quarter of fiscal 2026. Fiscal 2026 total provisioning for credit losses guidance was 40-50 basis points of loans, which is mostly in line with its fiscal 2025 level of 47 basis points.

Toronto-Dominion Earnings: Provisioning Improved, but US Segment's Struggles Will Carry Into 2026 Maoyuan Chen,Equity Analyst,28 Aug 2025

Toronto-Dominion reported fiscal third-quarter results that were largely in line with our expectations. Adjusted EPS came in at CAD 2.20, up 7% from a year ago. Provisioning expenses declined by 28% sequentially, mostly from lower performing loan provisioning. Why it matters: Toronto-Dominion is still going through US retail balance sheet restructuring and optimization efforts, with the segment posting a 3% year-over-year decline in adjusted net income (when excluding the contribution from the sale of its 10% equity stake in Schwab). The bank's wealth and insurance and wholesale banking segments posted strong earnings growth of 63% and 26%, respectively, lifting overall bank results. US retail segment average loans have declined by $13.3 billion (or 7%) since the fourth quarter of 2024. Management indicated that 2026 will likely see loan reductions of a similar size. The bank also expects the US retail segment to experience mid-single-digit expense growth next year, all pointing to another year of low profitability in 2026. The bottom line: As we incorporate these results, we expect to maintain our CAD 93/USD 65 per share fair value estimates for wide-moat-rated Toronto-Dominion Bank. Despite the stock trading down around 4% following the earnings release, we assess the shares as slightly overvalued. Management did not provide an estimate for when the asset cap on its US retail banking balance sheet would be lifted. We assess this as prudent, as it is ultimately the regulators that decide the timeline. We think there is still a lot of work to be done, with outsize expense growth an area of potential downside risk. Valuations for the Canadian banks have recovered from their April lows due to some positive developments in US and Canadian trade policies. However, we still believe that the Canadian economy remains subject to a heightened level of uncertainty.

Toronto-Dominion Earnings: Provisioning Expense Increased and US Segment Continued to Drag Maoyuan Chen,Equity Analyst,22 May 2025

Toronto-Dominion reported fiscal second-quarter results that were basically in line with our expectations. Adjusted EPS came in at CAD 1.97, down 3% from a year ago. That said, investors should be aware that the trajectory of the Canadian economy still has heightened uncertainty related to tariffs. Why it matters: Toronto-Dominion is still going through US retail balance sheet restructuring and

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optimization efforts, with the segment posting a 23% decline in adjusted net income from a year ago. Wealth and insurance segment earnings were up 14%, helping overall bank results. Total provisioning was up 11% sequentially to CAD 1.3 billion, largely driven by a CAD 399 million increase in performing provisioning related to tariffs. The bank also slightly increased its loan loss allowance coverage ratio to 1.01% of loans, compared with 0.99% in the last quarter. TD maintained its guidance for total provisioning of 45-55 basis points of loans for 2025, but also noted the tariff uncertainty could lead to higher credit costs above the current guidance range. The bottom line: We maintain our CAD 93/USD 65 per share fair value estimate for wide-moat Toronto-Dominion, and we view shares as fairly valued. Our Medium Uncertainty Rating for the bank reflects the heightened uncertainty in the Canadian economy related to tariffs. Valuations for the Canadian bank have largely recovered April lows after some de-escalation in tariff rates, particularly between the US and China. We still think the Canadian economy has significant uncertainty with negotiations for the United States-Mexico-Canada Agreement ongoing. Non-USMCA-compliant goods already face significantly higher tariff rates. Coming up: The bank announced another restructuring program, expecting to incur costs of CAD 600 million-CAD 700 million the next several quarters, which is expected to deliver annual savings of CAD 550 million-CAD 650 million. The bank expects to reduce its total workforce headcount by 2%.

Maintaining Our Fair Value Estimates for Canadian Banks After April 2 US Tariff News Maoyuan Chen,Equity Analyst,3 Apr 2025

On April 2, US President Donald Trump announced sweeping tariffs on goods imported from the rest of the world. Canada and Mexico were spared from these new tariffs; however, the previously announced tariffs on Canada are still in place, and the 25% global auto tariff has taken effect.We are maintaining our fair value estimates for the Canadian banks as there seems to be room for negotiation between Canada and the US. As such, we have not included a recession for the Canadian economy in our base-case forecast. However, if there are new broad tariffs on Canada that last for prolonged periods, the Canadian economy could enter into a recession and the Canadian consumer will face higher inflationary prices and a higher unemployment rate. This would lead to lower balance sheet growth and higher credit costs, damping profitability and returns.We highlight that the recession risk for the US economy has increased if the April 2 tariffs and the rest of the world's retaliatory tariffs are upheld. Across our Canadian bank coverage, Bank of Montreal and Toronto-Dominion have the most exposure to the US, deriving about 40% and 30% of their respective earnings there; they are likely to be more negatively affected should the US economy face pressure. Royal Bank of Canada has around 25% earnings exposure to the US, while Canadian Imperial Bank of Commerce has around 20%. Bank of Nova Scotia and National Bank of Canada have the least US exposure among peer Canadian banks at around 10% of earnings.On a separate note, Scotiabank derives 30% of its earnings from Latin America outside of Mexico, mostly Peru, Chile, Colombia, and the Caribbean. Most of its international markets are exposed to a 10% reciprocal tariff rate from April 2, which is better than most Asian and European

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countries. Scotiabank's Mexico earnings exposure is around 13.5%; Mexico also seemed to fare better than the rest of the world from the April 2 announcements.

TD Bank: 2025 Will Be Messy Due to Anti-Money-Laundering Spending and Balance Sheet Optimization Maoyuan Chen,Equity Analyst,1 Apr 2025

After taking a fresh look at Toronto-Dominion Bank, we are updating our fair value estimate to CAD 93/USD 65 per share from CAD 92/USD 65. We maintain our wide moat rating but downgrade our Capital Allocation Rating to Standard from Exemplary due to the firm's US anti-money-laundering failures. We view the shares as fairly priced.We think TD Bank has a wide moat derived from cost advantages and switching costs, underpinned by its dominant share and superior returns in Canadian markets. The bank derives around 55% of its revenue from Canada and 40% from the US. It's currently remediating its US retail bank segment's anti-money-laundering system after receiving a USD 3.1 billion fine and an asset cap on its US banking subsidiaries in October 2024. We view the anti-money-laundering issues as mostly contained to the US retail business and expect the bank to have permanently higher operating costs. Nevertheless, we like TD's solid Canadian banking businesses and are confident that the bank can generate excess returns over the next decade and, more likely than not, 20 years.Our fair value estimate corresponds to 1.9 times tangible book value at the end of January 2025. We have incorporated the bank's sale of its 10.1% equity stake in Charles Schwab and the share-buyback plan of around CAD 8 billion with the proceeds. We also estimate the bank will incur around CAD 2.5 billion in costs in 2025 from its US balance sheet repositioning. We expect TD to average around 3.5% annual loan growth over the next five years and project net interest income to grow at a 3.2% compound annual rate over the next five years. We forecast normalized return on tangible equity at 14%, well above our assigned cost of equity of 9%.

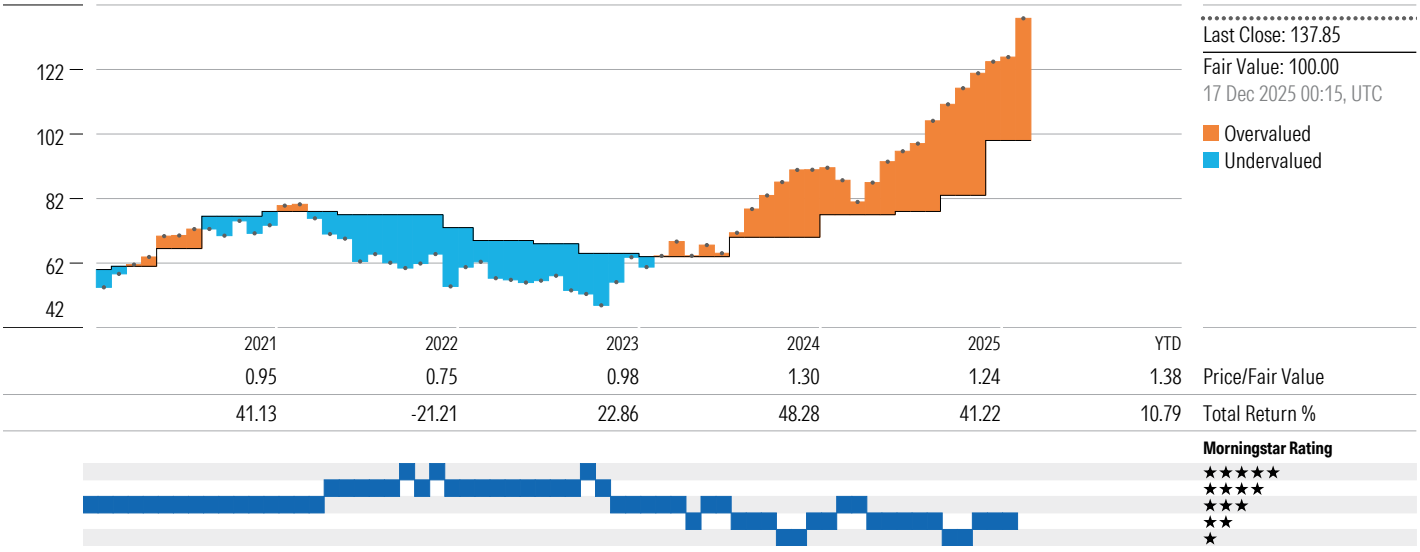
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Competitors Price vs. Fair Value

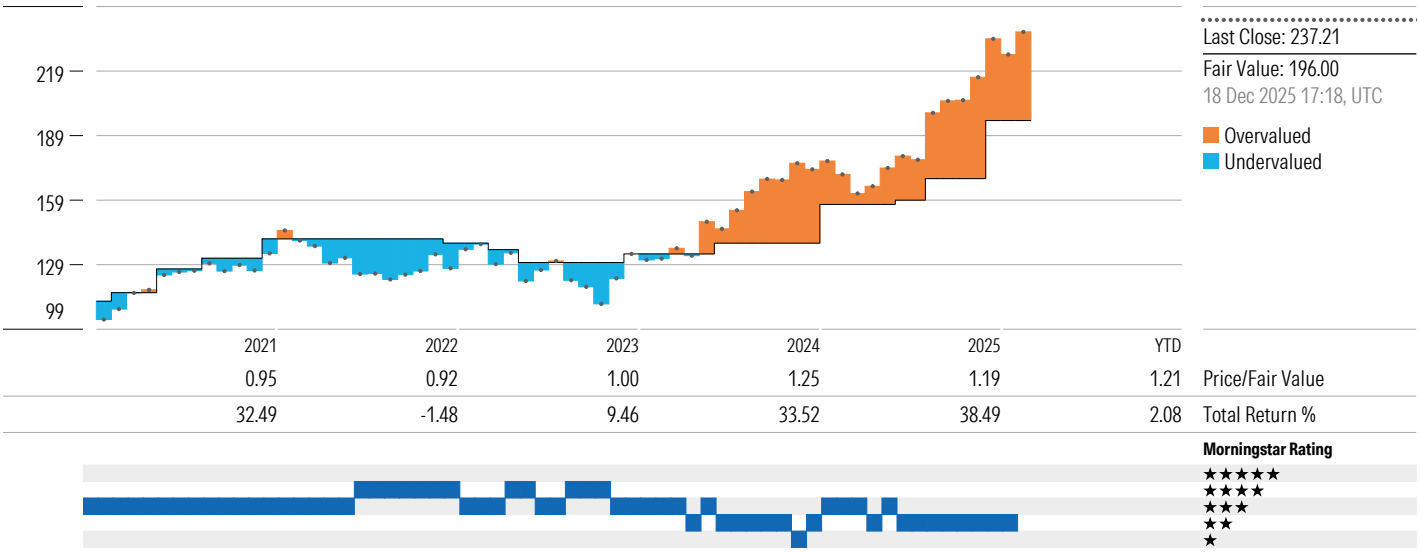
Canadian Imperial Bank of Commerce CM



	2021	2022	2023	2024	2025	YTD	
	0.95	0.75	0.98	1.30	1.24	1.38	Price/Fair Value
	41.13	-21.21	22.86	48.28	41.22	10.79	Total Return %

Total Return % as of 25 Feb 2026. Last Close as of 25 Feb 2026. Fair Value as of 17 Dec 2025 00:15, UTC.

Royal Bank of Canada RY



	2021	2022	2023	2024	2025	YTD	
	0.95	0.92	1.00	1.25	1.19	1.21	Price/Fair Value
	32.49	-1.48	9.46	33.52	38.49	2.08	Total Return %

Total Return % as of 25 Feb 2026. Last Close as of 25 Feb 2026. Fair Value as of 18 Dec 2025 17:18, UTC.

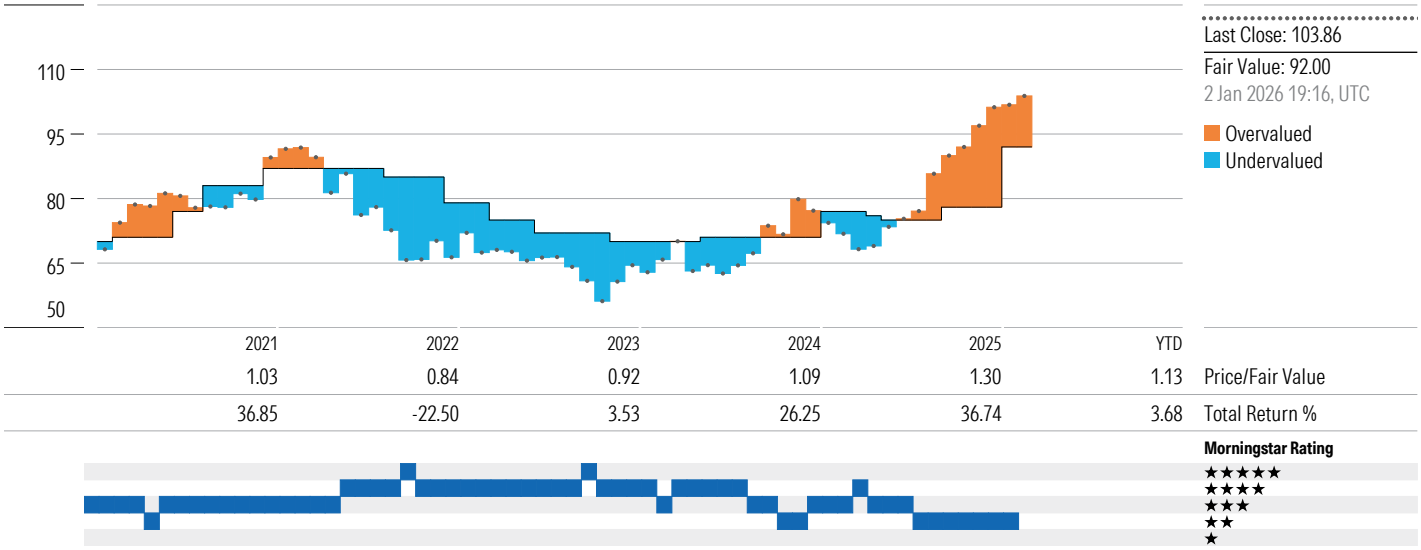
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Competitors Price vs. Fair Value

Bank of Nova Scotia BNS



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.03	0.84	0.92	1.09	1.30	1.13
Total Return %	36.85	-22.50	3.53	26.25	36.74	3.68

Total Return % as of 25 Feb 2026. Last Close as of 25 Feb 2026. Fair Value as of 2 Jan 2026 19:16, UTC.

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Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
132.96 CAD 25 Feb 2026	115.00 CAD 20 Dec 2025 01:44, UTC	1.16	227.61 CAD Bil 26 Feb 2026	Wide	Large Blend	Medium	Standard	7 Jan 2026 06:00, UTC

Morningstar Valuation Model Summary

Financials as of 19 Dec 2025	Actual			Forecast				
Fiscal Year, ends 31 Oct	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Net Interest Income (CAD Mil)	29,944	30,472	33,062	34,529	35,577	36,592	37,745	38,933
Non Interest Income (CAD Mil)	21,412	27,454	35,020	29,355	30,554	31,765	32,927	34,124
Total Pre-Provision Revenue (CAD Mil)	51,356	57,926	68,082	63,883	66,131	68,357	70,672	73,058
Provision for Loan Losses (CAD Mil)	2,933	4,253	4,506	4,379	3,661	3,566	4,237	4,394
Operating Expenses (CAD Mil)	34,473	42,140	39,628	41,050	42,740	44,343	45,941	47,603
Operating Income (CAD Mil)	13,950	11,533	23,948	18,455	19,730	20,448	20,494	21,061
Net Income Available to Common Stockholders (CAD Mil)	10,782	8,842	20,538	14,395	15,390	15,950	15,985	16,428
Adjusted Net Income (CAD Mil)	10,219	8,316	19,973	13,830	14,825	15,385	15,420	15,863
Weighted Average Diluted Shares Outstanding (Mil)	1,824	1,760	1,728	1,663	1,633	1,601	1,575	1,549
Earnings Per Share (Diluted) (CAD)	5.60	4.73	11.56	8.32	9.08	9.61	9.79	10.24
Adjusted Earnings Per Share (Diluted) (CAD)	5.60	4.73	11.56	8.32	9.08	9.61	9.79	10.24
Dividends Per Share (CAD)	3.84	4.08	4.20	4.33	4.41	4.50	4.59	4.68

Margins & Returns as of 19 Dec 2025		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Net Interest Margin %	1.6	1.6	1.6	1.7	1.7	1.7	1.7	1.7	1.7	1.7
Efficiency Ratio %	66.0	67.1	72.8	58.2	64.3	64.6	64.9	65.0	65.2	64.8
Provision as % of Loans	0.4	0.3	0.4	0.5	0.4	0.4	0.3	0.4	0.4	0.4

Growth & Ratios as of 19 Dec 2025		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Net Interest Income Growth %	6.5	9.5	1.8	8.5	4.4	3.0	2.9	3.2	3.2	3.3
Non Interest Income Growth %	15.6	-5.6	28.2	27.6	-16.2	4.1	4.0	3.7	3.6	-0.5
Total Pre-Provision Revenue Growth %	—	2.7	12.8	17.5	-6.2	3.5	3.4	3.4	3.4	—
Operating Expenses Growth %	—	25.2	22.2	-6.0	3.6	4.1	3.8	3.6	3.6	—
Operating Income Growth %	—	-34.9	-17.3	107.7	-22.9	6.9	3.6	0.2	2.8	—
Net Income Growth %	5.2	-38.1	-18.0	132.3	-29.9	6.9	3.6	0.2	2.8	—
Earnings Per Share Growth %	6.9	-40.8	-15.6	144.6	-28.1	9.2	5.9	1.9	4.6	-2.4

Valuation as of 19 Dec 2025	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	13.7	24.3	11.5	16.0	14.6	13.8	13.6	—
Price/Book	—	—	—	—	—	—	—	—
Price/Tangible Book	1.8	2.5	2.4	2.4	2.3	2.3	2.1	—
Dividend Yield %	5.3	3.3	3.2	3.3	3.3	3.4	3.5	—
Dividend Payout %	68.3	86.1	36.2	50.9	47.5	45.8	45.9	44.7

Operating Performance / Profitability as of 19 Dec 2025	Actual			Forecast				
Fiscal Year, ends 31 Oct	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	0.6	0.4	1.0	0.7	0.7	0.7	0.7	0.7
ROE %	9.7	7.8	16.9	11.4	12.2	12.5	12.3	12.3
Return on Tangible Equity %	12.8	10.3	22.7	15.0	16.1	16.5	16.1	15.9

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Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
132.96 CAD 25 Feb 2026	115.00 CAD 20 Dec 2025 01:44, UTC	1.16	227.61 CAD Bil 26 Feb 2026	Wide	Large Blend	Medium	Standard	7 Jan 2026 06:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Oct	2023	2024	2025	2026	2027	2028	2029	2030
Equity/Assets %	5.7	5.6	6.1	5.8	5.7	5.6	5.6	5.6

Forecast Revisions as of	2026		2027		2028	
Prior data as of	Current	Prior	Current	Prior	Current	Prior
Fair Value Estimate Change (Trading Currency)	115.00	—	—	—	—	—
Net Interest Income (CAD Mil)	34,529	32,420	35,577	33,342	36,592	34,361
Total Pre-Provision Revenue (CAD Mil)	63,883	60,382	66,131	62,128	68,357	63,990
Operating Income (CAD Mil)	18,455	18,334	19,730	19,163	20,448	19,189
Net Income (CAD Mil)	—	—	—	—	—	—
Earnings Per Share (Diluted) (CAD)	8.32	7.95	9.08	8.48	9.61	8.63
Adjusted Earnings Per Share (Diluted) (CAD)	8.32	7.95	9.08	8.48	9.61	8.63
Dividends Per Share (CAD)	4.33	4.28	4.41	4.37	4.50	4.46

Key Valuation Drivers as of 19 Dec 2025

Cost of Equity %	9.0
Stage II Net Income Growth Rate %	3.0
Stage II Incremental ROIC %	25.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 19 Dec 2025

	CAD Mil
Present Value Stage I	0
Present Value Stage II	0
Present Value of the Perpetuity	0
Total Common Equity Value before Adjustment	**0**
Other Adjustments	—
Equity Value	**184,936**
Projected Diluted Shares	1,626
Fair Value per Share (CAD)	**115.00**

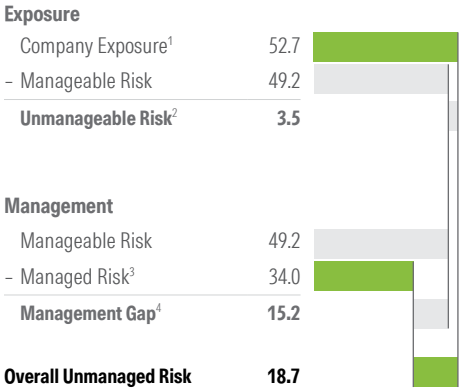
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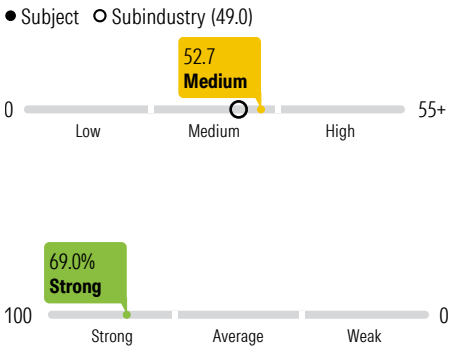
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The Toronto-Dominion Bank TD ★★ 25 Feb 2026 23:10, UTC

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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 69.0% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Jan 07, 2026. Highest Controversy Level is as of Feb 08, 2026. Sustainalytics Subindustry: Diversified Banks. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 07 Jan 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
The Toronto-Dominion Bank	52.7 | Medium	0	55+	69.0 | Strong	100	0	18.7 | Low	0	40+
Bank of Montreal	53.1 | Medium	0	55+	74.7 | Strong	100	0	16.0 | Low	0	40+
Bank of Nova Scotia	51.4 | Medium	0	55+	71.5 | Strong	100	0	17.0 | Low	0	40+
Canadian Imperial Bank of Commerce	52.8 | Medium	0	55+	68.7 | Strong	100	0	18.9 | Low	0	40+
Royal Bank of Canada	53.6 | Medium	0	55+	78.0 | Strong	100	0	14.5 | Low	0	40+

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Appendix

Historical Morningstar Rating

The Toronto-Dominion Bank TD 25 Feb 2026 23:10, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Canadian Imperial Bank of Commerce CM 25 Feb 2026 23:08, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★	★	★★	★★	★★	★★	★★	★★★	★★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★	★★	★★	★★	★★★	★★★	★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Royal Bank of Canada RY 25 Feb 2026 23:08, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★	★★	★★★	★★	★★★	★★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★★	★★	★★	★★	★★	★★★	★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Bank of Nova Scotia BNS 25 Feb 2026 23:08, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

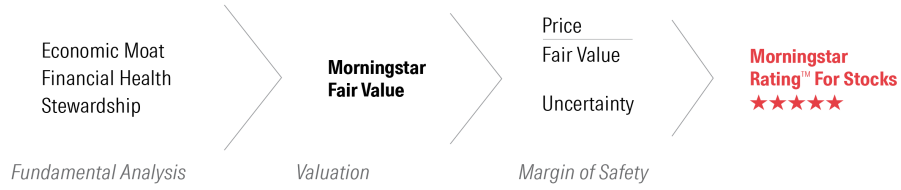
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

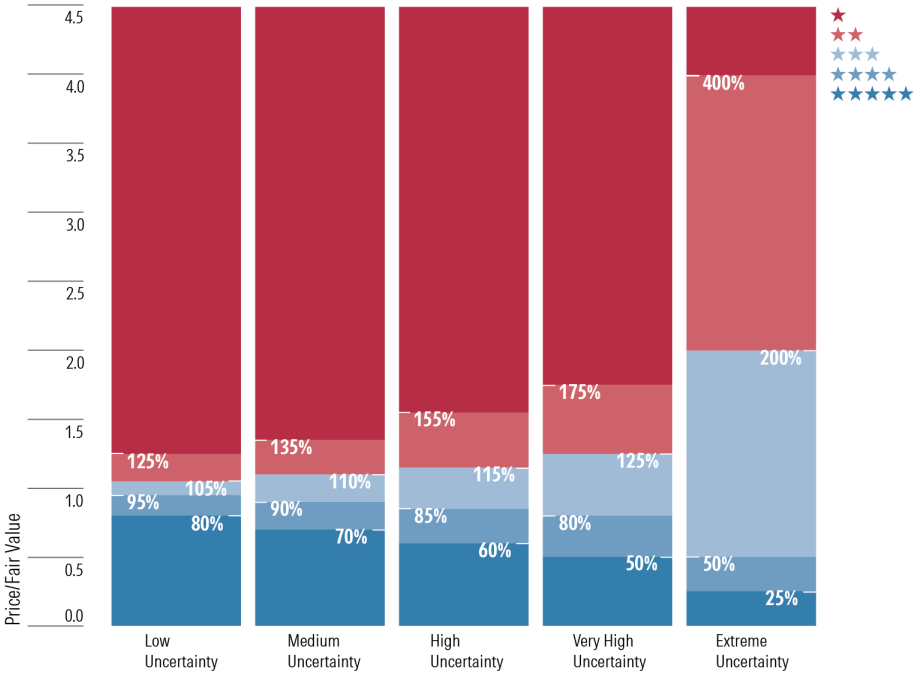
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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